

RISK MANAGEMENT POLICY

Risk

In capital market risk management is one of the most important aspects to avoid any future financial risk; it becomes important and a mandate to manage risks effectively as it not only affects the organization but it also affects their clients. It is a practice which is required and followed by every business irrelevant of their size and nature. It aims at recognizing the potential threats in advance and takes all necessary steps to avoid their adverse effects on business operations. The framework which is created is effectively & commonly applicable for all clients. It's clearly understood that risk is an integral part of any financial system, hence policy frameworks are mandatory to make it efficient and robust. Guidelines would also help in fixing margin irregularities if any. Also the guidelines are tentative & subject to change without notice based on market scenario. This framework will contain all the integrated business products of our company & all exchange segments like viz., Equity / Mutual Funds / Depository Regulations etc. It's very important for a investor or a Business partner to know about policies bought forward by Exchange & Regulators to mitigate risk involved. Therefore via this the client should be able to decide or bifurcate & invest his / her hard earned money in light to the financial condition. Client's & Business partners are requested to strictly abide to the market regulations & Broker policy frameworks to avoid any future inconveniences.

A high percentile of importance has been given for Derivatives Segment in this framework. It must be acknowledged and accepted that there can be no guarantee of profits or no exception from losses while executing orders for purchase and/or sale of a derivative contract being traded on Stock exchanges.

KEY ROLES:

Identify & Evaluate.

Streamline process accordingly to the environment. Reduce & Eliminate Harmful threats.

Ensure service reach to end consumer. Support efficient utilization of resources.

Better communication of risk with desired authorities & Business partners. Assurance of smooth fullness in business.

Effective control over business.

Client Cash

It's nothing but the clear cash balance available in the client's ledger after detection of certain charges like "VIRTUAL BLOCK" etc. Remember AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED uses SINGLE

MARGIN concept of margining a very unique & best in Industry. The single margin concept auto adjusts the entire available margin in client ledger and it ensures equal distribution of funds in different segments accordingly to the Bills & JV's posted.

Pay-in

AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED facilitates client's pay-in with the latest state of art technologies including private Broker payment Gateway services etc. AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED uses a robust & unique technology in this case. Remember your payment's made via RAZORPAY (Application payment gateway) IMPS / RTGS / NEFT / ECMS will get auto-credited within few min after KYC validation & Bank servers ensure completion of the transactions.

Bank transfers from banks which are under RBI guidelines and registered under them are only accepted. No Cash Deposits / Money Transfer's (Private Transfer agents) & DD's favoring the company are accepted. It's important to make a note that payment's made from banks other than the registered bank account as per KYC will be termed as "THIRD PARTY PAYMENT" and reversal will be initiated only to the source account in case of online payment & KYC registered bank account in case of CASH DEPOSITS made, also note that time for reversal will be T+3 days & its chargeable.

Cheque deposits & Private UPI application payments are also accepted. Tickets can be created with our payment's ticketing mechanism if payment transfer like viz., IMPS / RTGS / NEFT / ECMS is not credited within 15 - 30 min of the transaction completion.

Note - Tickets are mandatory for uncredited payments & UPI's / Cheque in which proof payment has to be attached containing the account number which is used by the PAY-IN team to validate the payment. Please raise your tickets on contactus@aionioncapital.com

Pay-out

You can reach us via our support numbers 044-46895225 to mark your payouts. We are available from 8 am to answer your calls & queries. You can also raise a ticket to mark your payout. Remember to mark a same day payout the above has to be done within 4 pm the same day of payout. To avoid & to beat the crowd you also have been provided with a Back Office console & your trading applications are pre - enabled with the specific feature to mark a payout

Note: Clients with 2 KYC linked bank accounts may note that the payout will be processed only to the Primary bank account of the client.

Margins & Exposure

Type of Margins: Cash Component & Non-Cash Component

Cash Components - Cash Credit of client / Fixed Deposits, Non - Cash Component - Pledged Securities (After HC) / Mutual Funds (After HC) / others as prescribed by the exchange time to time. The Margin is a main & underlying stake provided by the client to facilitate his trade in the form of Cash / Stocks to mitigate the market risk involved. The Stock exchanges in our country follow a unique & separate margin requirement mechanism for each segment separately. The requirements of each segment are bifurcated separately below. The new pledge/re-pledge mechanism which was introduced by the regulator was implemented by August, 2020 changed the way in client margin usage both in Intra-day & Portfolio trading. It was made mandatory by AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED as required by the regulator to pledge the securities with the broker and avail margins via the same. The prescribed list of Approved Securities by the exchange was used as reference to pick selected stocks for this process based on its VAR (Haircut) components of the stock.

A. Equities (NSE & BSE)

The following products are currently available for trade in this segment CO / BO / MIS / CNC. The discretion of enabling & disabling the above products based on market risk perspective entirely lies with AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED RMS department. The exposure regulation in this segment will change time to time as prescribed by the regulator & AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED reserves the right to change it anywhere in the calendar trade date accordingly with market risk perspective. Pledged securities with the broker can be used for Intra-day margins in products like CO / BO / MIS. Pledged securities margin with the broker can't be used for CNC product in Equity segment. CNC works only on 100 % margin requirement.

Note - The new peak margin regulations are applicable as prescribed by the regulator in a phased manner. Only 80% of the sale proceeds can be used for same day margining in any segments. The Intra- day exposure in equity segment goes up-to a maximum side as per the daily changing VAR + ELM perspective of the stock. The Higher VAR of the stock lowers the exposure of the stock you trade. Detailed calculation link has been provided below nseindia.com

Pledge & Re - Pledge mechanism

The latest regulations by the regulator has made mandatory for members to intimate their clients about PLEDGE & RE-PLEDGE mechanism. The stipulated way a client can get their capital requirement via collateral pledging. While pledging shares, promoters retain their ownership. However, as the share price keeps fluctuating, the value of the collateral also changes.

Pledged values are computed on daily basis by ascertaining the respective risk values from the exchange directly Mutual Funds / ET-F's / Stocks & Debt Instruments approved for pledge are only allowed to pledge with the member for capital loaning. A vigil way of surveillance has to be maintained as the value of pledged securities may erode at any point of time due to on-going market conditions.

Surveillance & Mark-to-Market Square-OFF

The Surveillance policy in AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED is fully automated with latest robust technology. All the deposits and holds of the client are uploaded in RMS servers & based on margin availability on client account Positions can be taken & warned if any shortfalls have been observed. As per new peak regulations which are levied from 1st Dec, 2020 on regular intervals snaps from Surveillance windows with relevant data are taken.

The integrated & Automated RMS SQR-OFF system will liquidate or cover clients positions in Market price if the live client position reaches 75 % MTM of the total value held.

Note - Liquidation of positions at 75% MTM level can't be assured all the time and entirely depends upon price movement in exchange.

Periodic validation of all the held positions will be made, AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED reserves the right to cover or liquidate any risky or exchange delivery positions at any point of time.

All the limits provided via PLEDGE & RE PLEDGE mechanism is liable for daily analysis, the value might change as per daily exchange haircut perspectives.

No terminal mapping & profile modifications will be made from RMS end, for the same one has to request KYC from the registered mail - id or phone number only.

In-case of any shortfall in carry - forwarded (NRML) positions in any segments, the same will be intimated to concern Branches / Branch Managers / Relationship Managers who are liable for client business communications. Note - reserves the right to cover & liquidate any heavy shortfall positions $\geq 150\%$ in a single day if no responses from concerned parties are received.

All the shortfall driven NRML positions under surveillance (i.e.) $\leq 101 - 135\%$ will be given a Max TAT time up-to T+3 days only. Fail in which no fund add-ons are received positions might be covered.

Business partners are liable for any business related communication with clients at all points, relevant time to time intimations via terminal flashing will also be made. Failing in non- availability (Absence - Has to be reported to Regional managers) of RM / Branch people RMS will communicate with clients.

Note - It's required for terminals to be in LIVE mode for admin flashed messages to reach clients.

Circular trading is strictly prohibited & a penalize - able offence according to Exchange - Broker Risk framework Delay or failure in the clearance of outstanding or dues to the broker surveillance will reduce the positions if the MTM loss incurred on a day is more than 70% of the actual margin requirement. In order to retain the position in such cases is possible only if Funds are transferred from the client's bank account either through RAZORPAY or Fund Transfer. Once the MTM loss for the open positions reaches as per the exchange rule of the margin available, the positions should be cleared from the branch concerned, failing which the positions taken will be cleared off from the surveillance dept. You should carefully consider whether such trading is suitable for you in light of your financial condition. In case of any market volatility/adverse consequences or loss, you shall be solely responsible for the same and member shall not be responsible, in any manner whatsoever, for the same and it will not be open for you to take a plea that no adequate disclosure regarding the risks involved was made or that you were not explained the full risk involved by the concerned stockbroker. The constituent shall be solely responsible for the consequences and no contract can be rescinded on that account.

Margin shortfall / Peak Margin & DRS (Debt Recovery System)

Margin shortfall is very common in live positions; this might be due to many aspects like SPAN changes and volatile market momentum. When trade margins are availed via PLEDGE & REPLEDGE mechanism, it's the LIABILITY of the client to maintain the buffer cash for the Mark - to - Market (MTM) posted in his / her ledger. Margin shortfall & peak margins will be dealt in the below mentioned way. Clients and Business Partners are requested to adhere the same strictly on LIVE sessions to avoid penalization from the exchange

The rules are commonly applicable for all the segments and across exchanges.

In the newly adhered peak regulations by SEBI regular PEAK snaps are taken, it's the entire liability of the client to hold sufficient limits in their accounts else penalty will be applicable in below specified variables.

(<	Rs	1	lakh)	And	(<	10%	of	applicable	margin)	0.5%
(=	Rs	1	lakh)	Or	(=	10%	of	applicable	margin)	1.0%

The percentile might go up - to a maximum of 5% as the shortfall days exceed or basis of number of attempts in ledger.

Charges are applicable for ledger debits (Interest) as prescribed in KYC while account opening.



AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED RMS department reserves the right to liquidate any collateral available in client Demat to tally the total debt available in client ledger.

Uncertain MTM's and Out of Pockets will be periodically intimated and will be mailed by the RMS to its respective Br managers accordingly. It's the entire liability of them to collect the same.

PEAK margins will also be intimated to the respective RM's and Branch managers, it's the liability of the branch to collect the EOD margin requirement fail in which PEAK PENALTY is applicable
It's the liability of the business managers to provide proper understanding of PEAK MARGINS to clients without fail. Remember the various trade patterns followed by client might also attract penalty.

Shortfalls will be intimated to Business managers through the fastest means of communication available. The same will be intimated TWICE a day

It should be ensured that PAYIN's are received for the short calls provided within the segment closure. AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED RMS department reserves the right to cover shortfall positions any time after intimations are provided.

Equity Settlement Obligations.

Equity stocks traded in India follow a fixed & pre - calendared settlement mechanism across the year. The settlement cycle varies accordingly with the category or the stock type here, e.g.: SGB (Sovereign Gold Bonds) which gets settled in T1. T+1 settlements are followed in Indian stock markets. Starting with Buying & Selling of the stock it takes 1 day for the stocks to get settle in-case of buying & cash settlement in case of selling also.

However 80 % of the sale proceeds can be used for same day margining
Early pay-in is a mandate from exchange end for settlement obligations to get completed

BTST - In Buy today Sell tomorrow concept of trade you are allowed to sell your T1 holdings well before it gets settled in your demat account.

Note - The risk liability of BTST transaction entirely lies with client only, as stock settlement is always based on availability in exchange only.

Equity Corporate actions

Corporate actions are one of the major factors that determine the health of the stock we hold. Sometime corporate actions provide the stock holder a lump sum good deal; some might also affect the share price too. Hence as a shareholder the client has the liability to keep watching out AGM's & Corporate actions. In this scenario the client will be directly intimated via mails regarding the upcoming corporate actions and important dates.

Corporate actions include **Split / Reverse Stock Split / Rights Issues / Dividends / Mergers & Acquisitions / Spin off / Buyback / Bonus**



Additional Surveillance Margin: (ASM) & Graded Surveillance Measures. (GSM).

In order to enhance market integrity and safeguard the interest of the investors, SEBI has introduced additional surveillance margin (ASM) on securities that witness abnormal price rise, which not commensurate with the net worth and fundamentals of the company. AIONION CAPITAL MARKET

SERVICES PRIVATE LIMITED as a risk containment measure shall allow trading in these shares only on Cash & Carry product (CNC) i.e., 100% margin on the first stages and trading in the ASM/ GSM stages of 2 and above are blocked and square off allowed.

Policy for penny stocks

Stocks which appear in the list of illiquid securities issued by the Exchanges every Quarter are considered penny stocks. These stocks are generally considered to be highly speculative and high risk because of their lack of liquidity, large bid-ask spreads, small capitalization and limited following and disclosure. Depending on the market condition and RMS policy of the company, AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED reserves the right to refuse to allow trading and/or provide limits on penny stocks.

Trading in newly listed shares, illiquid securities.

Newly listed securities, illiquid securities and Trade-to-Trade securities which have high VAR margin are subject to high market risks and rate fluctuations. Illiquid securities and Trade-to-Trade securities will have a daily price range (DPR) whereby the chances that these shares can reach the upper DPR or Lower DPR during a trading day are higher than other securities. Hence, the dealing in these securities will be subject to permission from the surveillance department and will be subject to the available credit balance.

Brokerage

Maximum permissible brokerage rate is 2.50% of premium amount or Rs.100/- per lot, whichever is higher.

DORMANT CLIENTS RMS:

Inactive account refers to such account wherein no trades have been carried out since last 12 (Twelve) months across all Exchanges the inactive accounts shall be flagged as 'Inactive' and any further transaction by such client should be allowed only after undertaking sufficient due diligence (including IPV) and obtaining the updated information related to KYC from the concerned Client.